RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

FOR THE YEARS ENDED

DECEMBER 31, 2011 AND 2010

AND

INDEPENDENT AUDITOR'S REPORT

SHAVELSON, NEUMAN & COMPANY, LLP

SHAVELSON, NEUMAN & COMPANY, LLP

Certified Public Accountants

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Shareholders
Riveredge Owners, Inc.
1-3 David Lane
Yonkers, NY 10701

We have audited the accompanying balance sheets of Riveredge Owners, Inc. as of December 31, 2011 and 2010, and the related statements of operations and accumulated (deficit), and cash flows for the years then ended. These financial statements are the responsibility of the Corporation's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 2011 and 2010, and the results of its operations, and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Management has omitted the information about the estimates of future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinion on the basic financial statements is not affected by the missing information.

Shavelson Neuman & Company LLP

SHAVELSON, NEUMAN & COMPANY, LLP
Certified Public Accountants

April 4, 2012

RIVEREDGE OWNERS, INC.

BALANCE SHEETS

DECEMBER 31, 2011 AND 2010

ASSETS

	2011	2010
CURRENT ASSETS:		
Cash and cash equivalents (Note 2C)	$ 61,503	$ 252,599
Accounts receivable from tenants	9,264	1,088
Miscellaneous receivable	0	5,903
Prepaid real estate tax	62,421	65,252
Fuel inventory (Note 2G)	5,300	16,000
Prepaid insurance	16,164	16,016
Total Current Assets	154,652	356,858
INVESTMENTS:		
Reserve funds (Note 3)	1,083,523	1,006,727
COMMON PROPERTY: (Notes 2A and 4)		
Land, building, improvements and equipment	13,657,624	13,323,729
Less: Accumulated depreciation	(8,234,814)	(7,880,770)
Net Common Property	5,422,810	5,442,959
OTHER ASSETS:		
Deferred mortgage refinancing costs, net (Note 5)	2,968	8,425
Total Other Assets	2,968	8,425
TOTAL ASSETS	$ 6,663,953	$ 6,814,969

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

BALANCE SHEETS

DECEMBER 31, 2011 AND 2010

LIABILITIES AND SHAREHOLDERS' EQUITY

	2011	2010
CURRENT LIABILITIES:		
Mortgage payable - current portion (Note 5)	$ 168,824	$ 156,927
Accounts payable	81,115	105,526
Prepaid maintenance	23,322	44,116
Due to shareholders (Note 9)	43,456	49,977
Deposits payable	1,257	1,257
Total Current Liabilities	317,974	357,803
LONG TERM LIABILITIES:		
Mortgage note payable - long term (Note 5)	2,609,747	2,778,570
Total Liabilities	2,927,721	3,136,373
COMMITMENTS: (Note 6)		
SHAREHOLDERS' EQUITY:		
Common shares, $1.00 par value, 90,000 shares authorized, 85,027 issued and outstanding	85,027	85,027
Additional paid-in capital in excess of par value	6,902,464	6,902,464
Accumulated (deficit)	(3,251,259)	(3,308,895)
Total Shareholders' Equity	3,736,232	3,678,596
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$ 6,663,953	$ 6,814,969

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF OPERATIONS AND ACCUMULATED (DEFICIT)

FOR THE YEARS ENDED DECEMBER 31, 2011 AND 2010

	2011	2010
INCOME:		
Maintenance charges (Note 2E)	$ 1,620,174	$ 1,620,174
Laundry income	34,675	36,357
Parking revenue	88,352	88,043
Other income	26,247	14,352
	1,769,448	1,758,926
EXPENSES:		
Payroll and related benefits	166,778	158,597
Utilities and fuel oil	248,050	251,570
Water and sewer	21,851	21,137
Repairs and maintenance	247,991	225,125
Insurance	59,481	57,164
Legal and audit fees	12,285	10,560
Management fee (Note 6)	39,816	30,000
Real estate taxes	321,051	314,334
Corporate taxes and miscellaneous	26,097	18,065
Mortgage interest	208,911	220,137
	1,352,311	1,306,689
Income before depreciation and amortization	417,137	452,237
Less: Depreciation	354,044	340,323
Amortization	5,457	5,456
Net income	57,636	106,458
Accumulated (deficit), beginning of year	(3,308,895)	(3,415,353)
Accumulated (deficit), end of year	$ (3,251,259)	$ (3,308,895)

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF CASH FLOWS

FOR THE YEARS ENDED DECEMBER 31, 2011 AND 2010

	2011	2010
CASH FLOWS FROM OPERATING ACTIVITIES:		
Net income	$ 57,636	$ 106,458
Adjustments to Reconcile Net Income to Net Cash Provided by Operating Activities:		
Depreciation	354,044	340,323
Amortization	5,457	5,456
Interest earned from reserve accounts	(9,512)	(5,139)
Changes in Assets and Liabilities:		
(Increase), decrease in accounts receivable	(8,176)	2,854
Decrease, (increase) in miscellaneous receivable	5,903	(5,903)
Decrease, (increase) in prepaid expenses	13,384	(17,244)
(Decrease), increase, in accounts payable	(24,411)	23,342
(Decrease), increase, in prepaid maintenance	(20,794)	38,318
(Decrease) in due to shareholders	(6,521)	(3,998)
Increase in deposits payable	0	1,208
Net cash provided by operating activities	367,010	485,675
CASH FLOWS FROM INVESTING ACTIVITIES:		
(Increase) in reserve fund investment principal	(67,284)	(531,190)
Expenditures for common property additions	(333,895)	(164,631)
Net cash (used in) investing activities	(401,179)	(695,821)
CASH FLOWS FROM FINANCING ACTIVITIES:		
Payments for mortgage principal	(156,927)	(145,869)
Net cash (used in) financing activities	(156,927)	(145,869)
Net (decrease) in cash and cash equivalents	(191,096)	(356,015)
Cash and cash equivalents, beginning of year	252,599	608,614
Cash and cash equivalents, end of year	$ 61,503	$ 252,599
CASH PAID DURING YEAR FOR:		
Mortgage interest	$ 210,869	$ 221,028
Corporate taxes	$ 6,276	$ 3,770

The accompanying notes are an integral part of these financial statements.

1. ORGANIZATION:

Riveredge Owners, Inc. (the "Corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982. The building consists of 158 residential apartments.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

A. Common Property:

Common property includes land, building, improvements and equipment and is stated at cost. Depreciation has been computed by means of the straight-line method over the estimated useful lives of the assets.

B. Future Needs For Major Repairs and Replacements:

The Corporation has accumulated some funds for major repairs and replacements, and has not conducted studies to determine the remaining useful lives of the components of certain common property and current estimates of costs of major repairs and replacements that may be required in the future. If further funds are needed the Corporation has the right to borrow, increase regular assessments, pass special assessments, or delay replacements until funds are available. The effect on future assessments has not been determined at this time.

C. Cash and Cash Equivalents:

For purposes of the Statement of Cash Flows, the Corporation considers all highly liquid debt instruments purchased with maturities of three months or less (not used for the reserve fund) to be cash equivalents.

D. Use of Estimates:

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses, and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on management's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

E. Maintenance Assessments:

Tenant-shareholders are subject to monthly assessments to provide funds for Corporation's operating expenses, future capital acquisitions, major repairs, and replacements. Accounts receivable from tenants at the balance sheet date represent maintenance charges due from tenant shareholders and expected to be collectible. Any excess assessments at year end are retained by the Corporation for use in the succeeding year.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

F. Federal Income Tax:

The Internal Revenue Service had taken the position that real estate cooperatives were subject to Section 277 of the Internal Revenue Code. However, on September 3, 1996, in a landmark ruling, the United States Tax Court found that real estate cooperatives were not subject to Section 277, but were subject to Subchapter T of the Internal Revenue Code. Subchapter T Corporations divide their income and expenses between patronage and non-patronage sources.

Subchapter T organizations must meet three requirements. Those are: subordination of capital, democratic control and operation at cost. Subordination of capital means that the Corporation must operate for the sole benefits of its "patrons" and not "outsiders". By their nature, co-ops must meet that requirement. Democratic control was held to mean that despite shareholders owning unequal amounts of shares, usually based on the relative sizes of their apartments, the co-op was controlled by its shareholders. Operation at cost is met by a co-op because should a co-op have a profit it is not distributed to its shareholders, instead the profit is used to offset future needs. Regarding interest income, if it is generated from reserve funds or excess funds that are invested in short term instruments, it can be included in patronage source income. This would be demonstrated by the fact that a co-op needs to keep a reserve fund for future major repairs and capital improvements. However, income from non-patronage sources such as commercial rental, professional apartment rental, etc. in excess of expenses properly attributable thereto, may be subject to Federal Tax.

For the year ended December 31, 2011, the Corporation had a financial statement net income of $57,636. For tax purposes, this income was adjusted by amounts discussed in Note 9. In addition, the Corporation had net operating loss carryovers available of $3,017,331 as of December 31, 2011. These NOLs expire between the years 2012 and 2031. The Corporation is also subject to New York State Franchise Tax under the capital method at a tax rate of .04%.

A deferred tax asset has not been provided for in the accompanying financial statements due to the uncertainty of the Corporation's ability to generate sufficient taxable income in order to realize the benefit of the net operating loss carryovers prior to the expiration dates.

G. Fuel Inventory:

The Corporation values fuel inventory at cost using the First-in, First-out (FIFO) inventory valuation method.

3. RESERVE FUNDS:

The Corporation invests its capital reserve funds in highly rated (low risk) financial instruments that are to be used for capital improvements. These investments consisted of the following as of December 31, 2011 and 2010:

	2011	2010
Vanguard Federal		
Money Market Fund interest rate of 0.04% at December 31, 2010	$ 0	$ 101,771
Astoria Federal Savings Bank		
Business Checking	159	759
Money Market Account Interest rate of 0.5% and 0.02% at December 31, 2011 and December 31, 2010, respectively	282,671	244,790
Hudson Valley Bank		
Business Money Market Account Interest rate of 0.24% at December 31, 2011	46,128	0
Signature Bank		
Money Market Account Interest rate of 1.01% at December 31, 2011 and December 31, 2010	529,107	437,080
Various CDs in amounts ranging from $5,000 to $50,000 with maturity dates that range from February 5, 2012 to December 23, 2012 with interest rates ranging from 1.05% to 1.50%	225,458	222,327
TOTAL RESERVE FUNDS	$ 1,083,523	$ 1,006,727

4. COMMON PROPERTY:

Land, building, improvements and equipment at December 31, 2011 and 2010 are summarized as follows:

	2011	2010
Land	$ 150,000	$ 150,000
Building	9,934,597	9,934,597
Improvements	3,256,610	2,935,815
Equipment, truck, fixtures	316,417	303,317
	13,657,624	13,323,729
Less: Accumulated depreciation	(8,234,814)	(7,880,770)
	$ 5,422,810	$ 5,442,959

4. COMMON PROPERTY (CONT'D):

During year ended December 31, 2011, the lobby renovation begun in 2010 proceeded and was basically completed by year end. A total of $320,795 was expended for this project including project management costs, but excluding $30,000 spent for painting.

In addition, during year ended December 31, 2011, a desk costing $11,100 was purchased for the lobby and $2,000 was spent on a snow blower.

A lobby renovation was begun in year ended December 31, 2010. The contract with Interior Sensations totals $439,086 of which $106,449 was spent in 2010 as well as $5,903 for Manchester Management, the project manager. In addition, new gym equipment was purchased that totaled $52,279.

5. MORTGAGE PAYABLE:

On May 8, 1997, the Corporation refinanced its mortgage with Capmark Finance, Inc. The mortgage is in the amount of $4,200,000 and is at a fixed interest rate of 7.33% and set to mature on January 1, 2013. The mortgage calls for monthly payments of $30,575 applied first to interest and then to payment of principal. Closing costs associated with this mortgage totaled $81,843 and are being amortized over the 15 year life of the mortgage. The mortgage is collateralized by the land and building owned by the Corporation.

The mortgage payable will amortize over the next two years until maturity as follows:

December 31 Year Ending,	Amount
2012	$ 168,824
2013 (maturity)	2,609,747
	$ 2,778,571

6. COMMITMENTS:

Management Agreement:

The Corporation had entered into an agreement with Platzner Management for the management of the building. The management fee for 2010 totaled $30,000. Effective January 1, 2011, an agreement was signed with Westchester Property Management to assume property management duties. Their fee for 2011 totaled $39,816. The agreement provides for the management agent to be in charge of **(a)** collecting all rents and other charges, **(b)** maintaining the building premises adequately, **(c)** entering into building contracts, **(d)** purchasing of supplies, **(e)** keeping all books and records of the Corporation, **(f)** managing all building personnel, and **(g)** procuring insurance.

7. EMPLOYEES' PENSION PLAN:

Several of the Corporation's employees are covered by a collective bargaining agreement with Local 32B-32J SEIU which expires April 20, 2014. In addition, the Corporation's employees are covered by a multi-employer profit sharing plan. The Corporation's contributions to the plan for 2011 and 2010 were approximately $6,600 and $7,000, respectively. Information as to the Corporation's portion of accumulated plan benefits and plan assets is not available. Under the Employee Retirement Income Security Act of 1974, as amended, an employer, upon withdrawal from a multi-employer plan is required to continue to pay its proportionate share of the plan's unfunded vested benefits. The Corporation has no intention of withdrawing from the plan.

8. CONTRIBUTIONS TO ADDITIONAL PAID-IN CAPITAL:

The Corporation treats special assessments for capital improvements and maintenance charges used to pay mortgage amortization as contributions to additional paid-in capital for income tax reporting purposes only.

For the years ended December 31, 2011 and 2010 additions to additional paid-in capital for income tax reporting purposes are:

	2011	2010
Mortgage amortization	$ 156,927	$ 145,869

9. DUE TO SHAREHOLDERS:

In 1998, the New State School Tax Relief Program (STAR) was authorized by Section 425 of the Real Property Tax Law. The shareholders are responsible for applying for the reduction and it is credited to the Corporation's real estate tax bill. The Coop then passes this reduction to the individual shareholders. The Corporation has elected to credit the shareholders on a monthly basis, in 12 monthly installments beginning January and running through December for both 2011 and 2010 year ends.

During the first six months of 2011, the Corporation received STAR credits from the City of Yonkers in the amount of $62,143 representing the second half of the tax billing for July 1, 2010 to June 30, 2011. During the next six months of 2011, the Corporation received STAR credits from the City of Yonkers in the amount of $60,262 representing the first half of the tax billing for July 1, 2011 to June 30, 2012. As of December 31, 2011, $43,456 has not yet been applied to the shareholders' accounts but will be applied in 2012.

During the first six months of 2010, the Corporation received STAR credits from the City of Yonkers in the amount of $61,787 representing the second half of the tax billing for July 1, 2009 to June 30, 2010. During the next six months of 2010, the Corporation received STAR credits from the City of Yonkers in the amount of $62,143 representing the first half of the tax billing for July 1, 2010 to June 30, 2011. As of December 31, 2010, $49,977 had not yet been applied to the shareholders' accounts, but was applied in 2011.

10. SUBSEQUENT EVENTS:

The Board of Directors and management have evaluated subsequent events that would require adjustments to, or disclosure in the year end financial statements through April 4, 2012, at which time the financial statements became available for issuance.

SHAVELSON, NEUMAN & COMPANY, LLP
Certified Public Accountants

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INDEPENDENT AUDITOR'S REPORT ON SUPPLEMENTARY INFORMATION

To the Board of Directors and Shareholders
Riveredge Owners, Inc.
1-3 David Lane
Yonkers, NY 10701

Our report on our audits of the financial statements of Riveredge Owners, Inc. appears on Page 1. These audits were conducted for the purpose of forming an opinion on the financial statements taken as a whole. The accompanying schedules are presented for the purpose of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Shavelson Neuman & Company LLP

SHAVELSON, NEUMAN & COMPANY, LLP
Certified Public Accountants

April 4, 2012

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RIVEREDGE OWNERS, INC.

SUPPLEMENTARY INFORMATION

OTHER INCOME

FOR THE YEARS ENDED DECEMBER 31, 2011 AND 2010

	2011	2010
Interest income	$ 9,512	$ 5,139
Miscellaneous and late fees	11,997	7,146
Flip taxes	3,251	0
Storage income	1,487	2,067
	$ 26,247	$ 14,352

See independent auditor's report on supplementary information.

RIVEREDGE OWNERS, INC.

SUPPLEMENTARY INFORMATION

DETAIL OF EXPENSES

FOR THE YEARS ENDED DECEMBER 31, 2011 AND 2010

	2011	2010
PAYROLL AND RELATED FEES:		
Salaries and bonuses	$ 120,503	$ 116,738
Payroll taxes	9,707	9,455
Employee benefits	36,568	32,404
	$ 166,778	$ 158,597
UTILITIES:		
Electricity and gas	$ 51,174	$ 67,891
Fuel oil	196,876	183,679
	$ 248,050	$ 251,570
REPAIRS AND MAINTENANCE:		
Exterminator	$ 5,236	$ 1,235
Elevator	17,856	8,869
Miscellaneous repairs and general contracting	16,406	21,481
Janitorial supplies	29,159	35,084
Plumbing, heating and boiler	21,803	13,976
Pool expense including supplies	33,193	32,762
Landscaping and other contractual expenses	16,302	37,204
Security	55,463	50,564
Painting	36,000	0
Cleaning	856	854
Windows and glass	298	3,906
Rubbish removal	2,139	0
Intercom repairs	3,255	8,184
Laundry room	3,477	5,977
Fencing	2,200	0
Electric repairs	4,348	5,029
	$ 247,991	$ 225,125
MISCELLANEOUS ADMINISTRATION AND CORPORATE TAXES:		
Stationery, printing and postage	$ 9,660	$ 9,360
Telephone	4,779	3,810
Corporate taxes	6,276	3,770
Licenses and fees	5,382	1,125
	$ 26,097	$ 18,065

See independent auditor's report on supplementary information.

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RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

FOR THE YEARS ENDED

DECEMBER 31, 2013 AND 2012

AND

INDEPENDENT AUDITOR'S REPORT

SHAVELSON, NEUMAN & COMPANY, LLP

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Shareholders
Riveredge Owners, Inc.
1-3 David Lane
Yonkers, NY 10701

We have audited the accompanying financial statements of Riveredge Owners, Inc. which comprise the balance sheets as of December 31, 2013 and 2012, and the related statements of operations and accumulated (deficit), and cash flows for the years then ended and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 2013 and 2012, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Management has omitted the information about the estimates of future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinion on the basic financial statements is not affected by the missing information.

Shavelson Neuman & Company LLP

SHAVELSON, NEUMAN & COMPANY, LLP
Certified Public Accountants

May 12, 2014

RIVEREDGE OWNERS, INC.

BALANCE SHEETS

DECEMBER 31, 2013 AND 2012

ASSETS

	2013	2012
CURRENT ASSETS:		
Cash and cash equivalents (Notes 2C and 2H)	$ 274,066	$ 30,296
Accounts receivable from tenants (Note 2E)	30,143	12,855
Prepaid real estate tax	52,048	42,244
Fuel inventory (Note 2G)	1,500	9,500
Prepaid insurance	21,977	50,179
Good Faith deposit and application (Note 5)	0	42,000
Total Current Assets	379,734	187,074
INVESTMENTS:		
Reserve funds (Notes 2H and 3)	1,303,582	1,120,846
COMMON PROPERTY: (Notes 2A and 4)		
Land, building, improvements and equipment	14,016,751	13,811,663
Less: accumulated depreciation	(8,974,790)	(8,600,717)
Net Common Property	5,041,961	5,210,946
OTHER ASSETS:		
Deferred mortgage refinancing costs, net (Note 5)	55,058	0
TOTAL ASSETS	$ 6,780,335	$ 6,518,866

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

BALANCE SHEETS

DECEMBER 31, 2013 AND 2012

LIABILITIES AND SHAREHOLDERS' EQUITY

	2013	2012
CURRENT LIABILITIES:		
Mortgage payable - current portion (Note 5)	$ 41,819	$ 33,238
Accounts payable	137,903	78,848
Prepaid maintenance	19,995	23,713
Due to shareholders (Note 9)	39,563	41,741
Deposits payable	2,257	2,257
Total Current Liabilities	241,537	179,797
LONG TERM LIABILITIES:		
Mortgage payable - long term (Note 5)	2,724,693	2,576,595
Total Liabilities	2,966,230	2,756,392
COMMITMENTS: (Note 6)		
SHAREHOLDERS' EQUITY:		
Common shares, $1.00 par value, 90,000 shares authorized, 85,027 issued and outstanding	85,027	85,027
Additional paid-in capital	6,902,464	6,902,464
Accumulated (deficit)	(3,173,386)	(3,225,017)
Total Shareholders' Equity	3,814,105	3,762,474
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$ 6,780,335	$ 6,518,866

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF OPERATIONS AND ACCUMULATED (DEFICIT)

FOR THE YEARS ENDED DECEMBER 31, 2013 AND 2012

	2013	2012
INCOME:		
Maintenance charges (Note 2E)	$ 1,531,251	$ 1,620,174
Laundry income	29,333	31,954
Parking revenue	85,794	87,530
Other income (Note 10)	55,800	21,233
	1,702,178	1,760,891
EXPENSES:		
Payroll and related benefits	180,957	182,676
Utilities and fuel oil	271,746	291,470
Water and sewer	32,294	17,196
Repairs and maintenance	183,706	213,785
Insurance	57,757	57,732
Legal and audit fees	8,979	31,756
Management fee (Note 6)	41,807	39,816
Real estate taxes	326,072	315,063
Corporate taxes and miscellaneous	23,644	19,156
Mortgage interest	147,614	197,128
	1,274,576	1,365,778
Income before depreciation and amortization	427,602	395,113
Less: Depreciation	(374,073)	(365,903)
Amortization	(1,898)	(2,968)
Net income	51,631	26,242
Accumulated (deficit) beginning of year	(3,225,017)	(3,251,259)
Accumulated (deficit) end of year	$ (3,173,386)	$ (3,225,017)

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF CASH FLOWS

FOR THE YEARS ENDED DECEMBER 31, 2013 AND 2012

	2013	2012
CASH FLOWS FROM OPERATING ACTIVITIES:		
Net income	$ 51,631	$ 26,242
Adjustments to Reconcile Net Income to Net Cash Provided by Operating Activities:		
Depreciation	374,073	365,903
Amortization	1,898	2,968
Interest earned from reserve accounts	(6,839)	(7,863)
Changes in Assets and Liabilities:		
(Increase) in accounts receivable	(17,288)	(3,591)
Decrease (increase) in prepaid expenses	26,398	(18,039)
Increase (decrease) in accounts payable	6,650	(2,267)
(Decrease) increase in prepaid maintenance	(3,718)	391
(Decrease) in due to shareholders	(2,178)	(1,715)
Increase in deposits payable	0	1,000
Net cash provided by operating activities	430,627	363,029
CASH FLOWS FROM INVESTING ACTIVITIES:		
(Increase) in reserve fund investment princi	(175,897)	(29,459)
Expenditures for common property addition	(152,683)	(154,039)
Net cash (used in) investing activities	(328,580)	(183,498)
CASH FLOWS FROM FINANCING ACTIVITIES:		
Payments for mortgage principal	(33,488)	(168,738)
Return, (payment) for Good Faith deposit	42,000	(42,000)
Payments for closing costs	(56,956)	0
Payoff of old mortgage payable	(2,609,833)	0
Acquisition of new mortgage payable	2,800,000	0
Net cash (used in) financing activities	141,723	(210,738)
Net increase (decrease) in cash and cash equivalents	243,770	(31,207)
Cash and cash equivalents, beginning of year	30,296	61,503
Cash and cash equivalents, end of year	$ 274,066	$ 30,296
CASH PAID DURING YEAR FOR:		
Mortgage interest	$ 163,603	$ 198,159
Corporate taxes	$ 5,724	$ 5,790

NONCASH TRANSACTIONS:
The Corporation has accrued $52,405 for fixed asset additions for year ended December 31, 2013.

The accompanying notes are an integral part of these financial statements.

RIVEREDGE OWNERS, INC.

NOTES TO THE FINANCIAL STATEMENTS

FOR THE YEARS ENDED DECEMBER 31, 2013 AND 2012

Louis C. Leisenz

1. ORGANIZATION:

Riveredge Owners, Inc. (the "Corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982. The building consists of 158 residential apartments. The primary purpose of the Corporation is to manage the operations of the property and maintain the common elements.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

A. Common Property:

Common property includes land, building, improvements and equipment and is stated at cost. Depreciation has been computed by means of the straight-line method over the estimated useful lives of the assets.

B. Future Needs For Major Repairs and Replacements:

The Corporation has accumulated some funds for major repairs and replacements, and has not conducted studies to determine the remaining useful lives of the components of certain common property and current estimates of costs of major repairs and replacements that may be required in the future. If further funds are needed the Corporation has the right to borrow, increase regular assessments, pass special assessments, or delay replacements until funds are available. The effect on future assessments has not been determined at this time.

C. Cash and Cash Equivalents:

For purposes of the Statement of Cash Flows, the Corporation considers all highly liquid debt instruments purchased with maturities of three months or less (not used for the reserve fund) to be cash equivalents.

D. Use of Estimates:

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses, and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on management's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

E. Maintenance Assessments:

Tenant-shareholders are subject to monthly assessments to provide funds for Corporation's operating expenses, future capital acquisitions, major repairs, and replacements. Accounts receivable from tenants at the balance sheet date represent maintenance charges due from tenant shareholders and expected to be collectible. Any excess assessments at year end are retained by the Corporation for use in the succeeding year.

The Board of Directors approved a decrease in maintenance charges effective March 1, 2013. This decrease was made possible by the mortgage refinance that took place in January 2013 (See Note 5) and now allows for a lower monthly mortgage payment. The monthly payment dropped from $30,575 per month to $15,323 per month due to lower principal financed and a lower interest rate. The per share maintenance charges decreased from $1.59 per share to $1.49 per share or approximately a 7% decrease.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

F. Federal Income Tax:

The Internal Revenue Service had taken the position that real estate cooperatives were subject to Section 277 of the Internal Revenue Code. However, on September 3, 1996, in a landmark ruling, the United States Tax Court found that real estate cooperatives were not subject to Section 277, but were subject to Subchapter T of the Internal Revenue Code. Subchapter T Corporations divide their income and expenses between patronage and non-patronage sources.

Subchapter T organizations must meet three requirements. Those are: subordination of capital, democratic control and operation at cost. Subordination of capital means that the Corporation must operate for the sole benefits of its "patrons" and not "outsiders". By their nature, co-ops must meet that requirement. Democratic control was held to mean that despite shareholders owning unequal amounts of shares, usually based on the relative sizes of their apartments, the co-op was controlled by its shareholders. Operation at cost is met by a co-op because should a co-op have a profit it is not distributed to its shareholders, instead the profit is used to offset future needs. Regarding interest income, if it is generated from reserve funds or excess funds that are invested in short term instruments, it can be included in patronage source income. This would be demonstrated by the fact that a co-op needs to keep a reserve fund for future major repairs and capital improvements. However, income from non-patronage sources such as commercial rental, professional apartment rental, etc. in excess of expenses properly attributable thereto, may be subject to Federal Tax.

For the year ended December 31, 2013, the Corporation had a financial statement net income of $51,630 and $26,242. For tax purposes, this income was adjusted by amounts discussed in Note 8. In addition, the Corporation had net operating loss carryovers available of $2,956,770 as of December 31, 2013. These NOLs expire between the years 2018 and 2032. The Corporation is also subject to New York State Franchise Tax under the capital method at a tax rate of 0.04%.

A deferred tax asset has not been provided for in the accompanying financial statements due to the uncertainty of the Corporation's ability to generate sufficient taxable income in order to realize the benefit of the net operating loss carryovers prior to the expiration dates.

G. Fuel Inventory:

The Corporation values fuel inventory at cost using the First-in, First-out (FIFO) inventory valuation method.

H. Uninsured Cash Balances:

As of December 31, 2013, aggregate uninsured funds in all accounts amounted to approximately $575,940. Effective January 1, 2013, the temporary unlimited deposit coverage provided by Section 343 of the Dodd-Frank Wall Street Reform and Consumer Protection Act for noninterest bearing transaction accounts expired. All accounts are now only insured up to $250,000 on deposit per FDIC bank.

3. RESERVE FUNDS:

The Corporation invests its capital reserve funds in highly rated (low risk) financial instruments that are to be used for capital improvements. These investments consisted of the following as of December 31, 2013 and 2012:

	2013	2012
Astoria Federal Savings Bank		
Business Checking	$ 0	$ 5,105
Money Market Account Interest rate of 0.25% and 0.75% at December 31, 2013 and December 31, 2012, respectively	346,928	311,385
Hudson Valley Bank		
Business Money Market Account Interest rate of 0.24% at December 31, 2013 and 2012	258,189	111,182
Signature Bank		
Money Market Account Interest rate of 0.70% and 0.75% at December 31, 2013 and December 31, 2012, respectively	443,410	465,291
Various CDs in amounts ranging from $5,000 to $50,000 with maturity dates that range from February 5, 2014 to December 23, 2014 and interest rates ranging from 0.85% to 0.9%	255,055	227,883
TOTAL RESERVE FUNDS	$ 1,303,582	$ 1,120,846

4. COMMON PROPERTY:

Land, building, improvements and equipment at December 31, 2013 and 2012 are summarized as follows:

	2013	2012
Land	$ 150,000	$ 150,000
Building	9,934,597	9,934,597
Improvements	3,561,431	3,374,339
Equipment, truck, fixtures	370,723	352,727
	14,016,751	13,811,663
Less: Accumulated depreciation	(8,974,790)	(8,600,717)
	$ 5,041,961	$ 5,210,946

4. COMMON PROPERTY (CONT'D):

During year ended December 31, 2013, the Corporation spent $123,192 on the basement renovation, $8,800 for the parking lot wall reconstruction, $55,110 for a tank line installation project for a total expenditure for capital improvements of $187,101. Recorded as Furniture and Fixtures is $12,250 spent on new fencing and $2,595 on floor mats. Recorded as Machinery and Equipment is $3,150 spent on a new intercom system. Fixed asset additions totaled $205,097 for year ended December 31, 2013.

During year ended December 31, 2012, the lobby renovations were substantially completed after various complications. A total of $117,729 was spent on capital improvement costs (painting was expensed at a cost of $54,045). In addition to the lobby renovations, a total of $36,310 was spent for new washers and dryers for the laundry room.

5. MORTGAGE PAYABLE:

The Corporation refinanced its existing mortgage with Capmark Finance, Inc on January 2, 2013 by obtaining a new mortgage from Greystone Servicing Corporation. The new mortgage is in the amount of $2,800,000 and calls for monthly payments of $15,323 to be applied first to interest at the rate of 5.17% per annum and the balance to principal. The mortgage is for a term of 30 years and is self amortizing. Per diem interest of $12,053 was paid in February 2013, and monthly payments of principal and interest commenced March 1, 2013. Closing costs associated with the mortgage refinance totaled $42,957 and are being amortized over the 30 year life of the mortgage. The mortgage is secured by the land and building owned by the Corporation.

Due to the reduced principal amount financed and the lower interest rate, the Corporation was able to realize reduction in monthly maintenance charges (see Note 2E).

December 31 Year Ending,	Amount
2014	$ 41,819
2015	44,033
2016	46,364
2017	48,819
2018	51,404
2019 and thereafter	2,534,073
	$ 2,766,512

6. COMMITMENTS:

Management Agreement:

Effective January 1, 2011, an agreement was signed with Westchester Property Management to assume property management duties. Fees for 2013 and 2012 totaled $41,807 and $39,816 for years ended December 31, 2013 and 2012, respectively. The agreement provides for the management agent to be in charge of (a) collecting all rents and other charges, (b) maintaining the building premises adequately, (c) entering into building contracts, (d) purchasing of supplies, (e) keeping all books and records of the Corporation, (f) managing all building personnel, and (g) procuring insurance.

7. EMPLOYEES' PENSION PLAN:

The Corporation's three employees are covered by a collective bargaining agreement with Local 32B-32J SEIU which expires April 20, 2017. In addition, the Corporation's employees are covered by a multi-employer profit sharing plan. The Corporation's contributions to the plan for 2013 and 2012 were approximately $8,000 and $7,700, respectively. Information as to the Corporation's portion of accumulated plan benefits and plan assets is not available. Under the Employee Retirement Income Security Act of 1974, as amended, an employer, upon withdrawal from a multi-employer plan is required to continue to pay its proportionate share of the plan's unfunded vested benefits. The Corporation has no intention of withdrawing from the plan.

8. CONTRIBUTIONS TO ADDITIONAL PAID-IN CAPITAL:

The Corporation treats special assessments for capital improvements and maintenance charges used to pay mortgage amortization as contributions to additional paid-in capital for income tax reporting purposes only.

For the years ended December 31, 2013 and 2012 additions to additional paid-in capital for income tax reporting purposes are:

	2013	2012
Mortgage amortization	$ 33,488	$ 168,738

9. DUE TO SHAREHOLDERS:

In 1998, the New State School Tax Relief Program (STAR) was authorized by Section 425 of the Real Property Tax Law. The shareholders are responsible for applying for the reduction and it is credited to the Corporation's real estate tax bill. The Coop then passes this reduction to the individual shareholders. The Corporation has elected to credit the shareholders on a monthly basis, in 12 monthly installments beginning January and running through December for both 2013 and 2012 year ends.

During the first six months of 2013, the Corporation received STAR credits from the City of Yonkers in the amount of $64,173 representing the second half of the tax billing for July 1, 2012 to June 30, 2013. During the next six months of 2013, the Corporation received STAR credits from the City of Yonkers in the amount of $65,396 representing the first half of the tax billing for July 1, 2013 to June 30, 2014. As of December 31, 2013, $39,563 had not yet been applied to the shareholders' accounts but will be applied in 2014.

During the first six months of 2012, the Corporation received STAR credits from the City of Yonkers in the amount of $64,854 representing the second half of the tax billing for July 1, 2011 to June 30, 2012. During the next six months of 2012, the Corporation received STAR credits from the City of Yonkers in the amount of $66,911 representing the first half of the tax billing for July 1, 2012 to June 30, 2013. As of December 31, 2012, $41,741 has not yet been applied to the shareholders' accounts but was applied in 2013.

SHAVELSON, NEUMAN & COMPANY, LLP
Certified Public Accountants

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INDEPENDENT AUDITOR'S REPORT ON SUPPLEMENTARY INFORMATION

To the Board of Directors and Shareholders
Riveredge Owners, Inc.
1-3 David Lane
Yonkers, NY 10701

Our report on our audits of the financial statements of Riveredge Owners, Inc. appears on Page 1. These audits were conducted for the purpose of forming an opinion on the financial statements taken as a whole. The accompanying schedules are presented for the purpose of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Shavelson Neuman & Company LLP

SHAVELSON, NEUMAN & COMPANY, LLP
Certified Public Accountants

May 12, 2014

Member: AMERICAN INSTITUTE OF CERTIFIED PUBLIC ACCOUNTANTS • NEW YORK STATE SOCIETY OF CERTIFIED PUBLIC ACCOUNTANTS

RIVEREDGE OWNERS, INC.

SUPPLEMENTARY INFORMATION

OTHER INCOME

FOR THE YEARS ENDED DECEMBER 31, 2013 AND 2012

	2013	2012
Interest income	$ 6,840	$ 7,863
Miscellaneous and late fees	14,056	9,663
Flip taxes	11,602	3,707
Reimbursement of prior years' legal fees (Note 10)	23,302	0
	$ 55,800	$ 21,233

See independent auditor's report on supplementary information.

RIVEREDGE OWNERS, INC.

SUPPLEMENTARY INFORMATION

DETAIL OF EXPENSES

FOR THE YEARS ENDED DECEMBER 31, 2013 AND 2012

	2013	2012
PAYROLL AND RELATED FEES:		
Salaries and bonuses	$ 122,732	$ 124,535
Payroll taxes	9,930	9,544
Employee benefits	48,295	48,597
	$ 180,957	$ 182,676
UTILITIES:		
Electricity and gas	$ 53,044	$ 53,638
Fuel oil	218,702	237,832
	$ 271,746	$ 291,470
REPAIRS AND MAINTENANCE:		
Exterminator	$ 2,926	$ 0
Elevator	20,155	16,305
Miscellaneous repairs and general contracting	3,263	4,069
Janitorial supplies	39,128	28,795
Plumbing, heating and boiler	4,520	0
Pool expense including supplies	29,360	30,650
Landscaping and other contractual expenses	9,384	3,336
Security	51,562	53,133
Painting	0	54,045
Apartment repairs	8,450	0
Windows and glass	910	0
Rubbish removal	0	1,279
Intercom	13,048	14,329
Laundry room	0	2,302
Fencing	1,000	0
Electric	0	5,542
	$ 183,706	$ 213,785
MISCELLANEOUS ADMINISTRATION AND CORPORATE TAXES:		
Stationery, printing and postage	$ 9,737	$ 6,032
Telephone	6,139	5,720
Corporate taxes	5,724	5,790
Licenses and fees	2,044	1,614
	$ 23,644	$ 19,156

See independent auditor's report on supplementary information.

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS AND

REPORT OF INDEPENDENT AUDITORS

AS OF AND FOR THE YEARS ENDED

DECEMBER 31, 2015 AND 2014

RIVEREDGE OWNERS, INC.

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2015 AND 2014

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JEFFREY SHAVELSON, CPA, P.C.
— A DIVISION OF —
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Report of Independent Auditors

To the Board of Managers and Unit Owners
Riveredge Owners Inc.
1-3 David Lane
Yonkers, NY 10701

Report on the Financial Statements
We have audited the accompanying financial statements of Riveredge Owners Inc., which comprise the balance sheet as of December 31, 2015, and the related statements of operations and accumulated deficit and cash flows for the year then ended and the related notes to the financial statements.

Management's Responsibility for the Financial Statements
Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility
Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion
In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners Inc. as of December 31, 2015, and the results of its operations and its cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

Other Matters
Our audit was conducted for the purpose of forming an opinion on the financial statements as of and for the year ended December 31, 2015, as a whole. The accompanying supplementary information on pages 12-13 is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information for the year ended December 31, 2015, has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information for the year ended December 31, 2015 is fairly stated in all material respects in relation to the financial statements as a whole.

McGLADREY ALLIANCE | McGladrey

McGladrey Alliance is a premier affiliation of independent accounting and consulting firms. McGladrey Alliance member firms maintain their name, autonomy and independence and are responsible for their own client fee arrangements, delivery of services and maintenance of client relationships.

The financial statements Riveredge Owners Inc., as of and for the year ended December 31, 2014, were audited by other auditors whose report dated March 30, 2015 expressed an unmodified opinion on those statements. The supplementary information for the year ended December 31, 2014, was audited by other auditors, whose report dated March 30, 2015, expressed an unmodified opinion on such information in relation to the financial statements as a whole.

Omission of Required Supplementary Information about Future Major Repairs and Replacements
Management has omitted the information about the estimates of future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, who considers it to be an essential part of the financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinion on the basic financial statements is not affected by the missing information.

Nussbaum Yates Berg Klein & Wolpow, LLP

Melville, New York
May 3, 2016

RIVEREDGE OWNERS, INC.

BALANCE SHEETS

AS OF DECEMBER 31, 2015 AND 2014

ASSETS	2015	2014
CURRENT ASSETS:		
Cash and cash equivalents	$ 102,845	$ 110,834
Accounts receivable from tenant-shareholders	3,038	21,466
Prepaid real estate tax	69,456	96,855
Fuel inventory	8,000	7,000
Prepaid insurance	21,256	24,418
Total Current Assets	204,595	260,573
INVESTMENTS:		
Reserve funds	1,462,059	1,338,409
COMMON PROPERTY:		
Land, building, improvements and equipment	14,299,660	14,126,681
Less: accumulated depreciation	(9,742,597)	(9,348,908)
Net Common Property	4,557,063	4,777,773
OTHER ASSETS:		
Deferred mortgage refinancing costs, net	51,261	53,159
TOTAL ASSETS	$ 6,274,978	$ 6,429,914

LIABILITIES AND SHAREHOLDERS' EQUITY		
CURRENT LIABILITIES:		
Mortgage payable - current portion	$ 46,364	$ 44,034
Accounts payable	112,296	68,611
Prepaid charges	18,243	27,624
Due to shareholders	31,475	33,797
Deposits payable	2,257	2,257
Total Current Liabilities	210,635	176,323
LONG TERM LIABILITIES:		
Mortgage payable - less current portion	2,634,543	2,680,907
Total Liabilities	2,845,178	2,857,230
SHAREHOLDERS' EQUITY:		
Common shares, $1.00 par value, 90,000 shares authorized, 85,027 issued and outstanding	85,027	85,027
Less: Treasury stock, at cost	(53,752)	(53,752)
Additional paid-in capital	6,902,464	6,902,464
Accumulated deficit	(3,503,939)	(3,361,055)
Total Shareholders' Equity	3,429,800	3,572,684
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	$ 6,274,978	$ 6,429,914

See notes to financial statements

RIVEREDGE OWNERS, INC.

STATEMENTS OF OPERATIONS AND ACCUMULATED DEFICIT

FOR THE YEARS ENDED DECEMBER 31, 2015 AND 2014

	2015	2014
INCOME:		
Maintenance charges	$ 1,513,447	$ 1,513,447
Laundry income	26,581	28,676
Parking revenue	85,896	86,622
Other income	38,445	30,487
Total Income	1,664,369	1,659,232
EXPENSES:		
Payroll and related	205,605	187,354
Utilities	199,659	337,417
Water and sewer	38,772	27,383
Repairs and maintenance	316,104	286,013
Insurance	71,196	64,292
Legal and audit fees	11,069	8,520
Management fee	43,496	42,643
Real estate taxes	365,790	346,985
Corporate taxes and miscellaneous	20,319	28,399
Mortgage interest	139,656	141,878
Total Expenses	1,411,666	1,470,884
Income before depreciation and amortization	252,703	188,348
Less: Depreciation and amortization	395,587	376,017
Net loss	(142,884)	(187,669)
Accumulated deficit beginning of year	(3,361,055)	(3,173,386)
Accumulated deficit end of year	$ (3,503,939)	$ (3,361,055)

See notes to financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF CASH FLOWS

FOR THE YEARS ENDED DECEMBER 31, 2015 AND 2014

	2015	2014
OPERATING ACTIVITIES:		
Net loss	$ (142,884)	$ (187,669)
Adjustments to Reconcile Net loss to Net Cash Provided by Operating Activities:		
Depreciation and amortization	395,587	376,017
Interest earned in reserve accounts	(11,355)	(6,306)
Changes in Operating Assets and Liabilities:		
Accounts receivable	18,428	(5,341)
Prepaid expenses	29,561	(52,748)
Accounts payable	43,685	(16,886)
Prepaid maintenance	(9,381)	7,629
Due to shareholders	(2,322)	(5,766)
Net cash provided by operating activities	321,319	108,930
INVESTING ACTIVITIES:		
Change in reserve fund principal	(112,295)	(28,521)
Expenditures for common property additions	(172,979)	(162,335)
Net cash used in investing activities	(285,274)	(190,856)
FINANCING ACTIVITIES:		
Acquisition of Treasury Stock	-	(39,734)
Payments for mortgage principal	(44,034)	(41,572)
Net cash used in financing activities	(44,034)	(81,306)
Net decrease in cash and cash equivalents	(7,989)	(163,232)
Cash and cash equivalents, beginning of year	110,834	274,066
Cash and cash equivalents, end of year	$ 102,845	$ 110,834
CASH PAID DURING THE YEAR FOR:		
Mortgage interest	$ 139,846	$ 142,058
Corporate taxes	$ 4,321	$ 6,462

See notes to financial statements.

RIVEREDGE OWNERS, INC.

NOTES TO THE FINANCIAL STATEMENTS

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2015 AND 2014

1. ORGANIZATION:

Riveredge Owners, Inc. (the "Corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York. The building consists of 158 residential apartments. The Corporation's primary purpose is to manage the operations of the property and maintain the common elements.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

A. Common Property:

Common property includes land, building, improvements and equipment and is stated at cost. Depreciation has been computed by means of the straight-line method over the estimated useful lives of the assets ranging from 5 to 27.5 years.

B. Future Needs For Major Repairs and Replacements:

The Corporation has accumulated some funds for major repairs and replacements, and has not conducted studies to determine the remaining useful lives of the components of certain common property and current estimates of costs of major repairs and replacements that may be required in the future. Accordingly, the Corporation is unable to disclose that information. If further funds are needed the Corporation has the right to borrow, increase regular assessments, pass special assessments, or delay replacements until funds are available. The effect on future assessments has not been determined at this time.

C. Cash and Cash Equivalents:

The Corporation considers all highly liquid debt instruments purchased with maturities of three months or less to be cash equivalents unless they are held for reserve fund purposes (See Note 3).

The Corporation maintains cash and cash equivalents at several financial institutions. Accounts at certain institutions are insured by the Federal Deposit Insurance Corporation (FDIC) up to $250,000. At times the Corporation's cash balances exceed FDIC insurance limits.

D. Use of Estimates:

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses, and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on management's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

E. Maintenance Assessments:

Tenant-shareholders are subject to monthly assessments to provide funds for Corporation's operating expenses, future capital acquisitions, major repairs, and replacements. Accounts receivable from tenants at the balance sheet date represent maintenance charges due from tenant shareholders and expected to be collectible. Any excess assessments at year end are retained by the Corporation for use in the succeeding year.

2. **SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (CONTINUED):**

F. **Corporation Income Tax (Continued):**
For Federal tax purposes, the Corporation's taxes are filed pursuant to Subchapter T of the Internal Revenue Code. Subchapter T Corporations divide their income and expenses between patronage and non-patronage sources. Income is considered patronage sourced if it is derived from an activity that is characterized as directly related to and inseparable from the Corporation's principal business activity and business purpose. Consequently, income from non-patronage sources (non-tenant-shareholder) such as commercial rent, professional apartment rental, etc., in excess of expenses properly attributable thereto, may be subject to Federal tax.

As of December 31, 2015, the Corporation had available approximately $3,330,000 of unused net operating loss carryovers that may be applied against future taxable income and expire in various years from 2018 to 2035. Due to the uncertainty of the Corporation's ability to generate sufficient taxable income before the expiration dates of these net operating losses, no deferred tax asset has been recorded in the accompanying financial statements. The Corporation is also subject to New York State franchise tax which has been provided for based upon capital rather than income.

The Corporation applies ASC Topic 7400, the provision pertaining to uncertain tax positions, and has determined that there are no material uncertain tax positions that require recognition or disclosure in the financial statements. The income tax returns of the Association for tax years subsequent to 2011 are open and subject to examination by the taxing authorities.

G. **Fuel Inventory:**
The Corporation values fuel inventory at cost using the First-in, First-out (FIFO) inventory valuation method.

H. **Accounting Method and Policy**
The Corporation maintains its books and records on the accrual basis of accounting and therefore recognizes revenue when earned, and liabilities when incurred. Bad debts, if any, are recognized in the period in which they are deemed to be uncollectible.

I. **Fair Value of Financial Instruments:**
The Corporation uses the following methods and assumptions to estimate the fair value of each class of financial instruments for which it is practicable to estimate such value:

Cash and cash equivalents - The carrying amount approximates fair value because of the short maturity of those instruments.

Reserve Fund - The carrying amount approximates fair value because of the short maturity of those instruments.

Accounts receivable from tenant-shareholders - The carrying value of accounts receivable approximates fair value due to their short-term nature and historical collectability.

Accounts payable - The carrying value of accounts payable approximates fair value due to the short-term nature of the obligations.

Mortgage payable - The carrying amount approximates fair value because of the maturity of those instruments and interest rates prevalent in the agreements.

3. RESERVE FUNDS:

The Corporation has a cash management program which provides for investing excess cash in highly rated (low risk) financial instruments. These investments are designated as Reserve Funds and are to be used for capital improvements or major repairs. The Reserve Fund consists of the following as of December 31, 2015 and 2014.

	2015	2014
Astoria Federal Savings Bank		
Money Market Account		
Interest rate of 0.25% at December 31, 2014	$ -	$ 375,710
Sterling National Bank		
Business Money Market Account		
Interest rate of 0.02% for both years	159,372	258,835
Signature Bank		
Money Market Account		
Interest rate of 0.70% for both years	449,661	446,525
Twenty-eight (28) CDs in amounts ranging from $5,000 to $50,000 with maturity dates that range from March 22, 2016, to March 11, 2017 at an interest rate of 0.85%	259,539	257,339
Capital One Bank		
Business Savings		
Interest rate of 1.0% at December 31, 2015	251,986	-
The Westchester Bank		
Money Market		
Interest rate of 0.75% at December 31, 2015	225,908	-
People United Bank		
Business Advantage Checking	1,000	-
Business Advantage Savings		
Interest rate of 0.75% at December 31, 2015	114,593	-
TOTAL RESERVE FUNDS	$ 1,462,059	$ 1,338,409

4. COMMON PROPERTY:

Common property consists of the following at December 31, 2015 and 2014:

	2015	2014
Land	$ 150,000	$ 150,000
Building	9,934,597	9,934,597
Improvements	3,789,176	3,616,197
Equipment, truck, fixtures	425,887	425,887
Less: accumulated depreciation	14,299,660	14,126,681
Net Common Property	(9,742,597)	(9,348,908)
	$ 4,557,063	$ 4,777,773

4. COMMON PROPERTY (CONTINUED):

During the year ended December 31, 2015, the Corporation incurred total costs for common property additions of $172,979 as follows: $124,079 for heating system upgrades, $31,000 for a deposit on elevator modernization and $17,900 for picnic area and retaining wall demolition.

During the year ended December 31, 2014 the Corporation incurred total costs for common property additions of $162,335 as follows: $66,661 for heating system upgrades, $40,500 for an oil transfer pump, $4,700 for fencing and $50,464 for a new truck.

5. MORTGAGE PAYABLE:

The Corporation has a mortgage with Greystone Servicing Corporation. The mortgage is in the amount of $2,800,000 and calls for monthly payments of $15,323 to be applied first to interest at the rate of 5.17% per annum and the balance to principal. The mortgage is for a term of 30 years maturing on January 1, 2043 and is self amortizing. Closing costs associated with the mortgage refinance totaled $42,957 and are being amortized over the 30 year life of the mortgage. The mortgage is secured by the land and building owned by the Corporation.

The mortgage at its current terms is amortized over the next five years and thereafter as follows:

December 31 Year Ending,	Amount
2016	$ 46,364
2017	48,819
2018	51,404
2019	54,125
2020	56,991
Thereafter	2,423,204
	$ 2,680,907

6. COMMITMENTS:

The Corporation has an agreement with Westchester Property Management for the management of the building. Fees totaled $43,496 and $42,643 for years ended December 31, 2015 and 2014, respectively. The agreement provides for the management agent to be in charge of (a) collecting all rents and other charges, (b) maintaining the building premises adequately, (c) entering into building contracts, (d) purchasing of supplies, (e) keeping all books and records of the Corporation, (f) managing all building personnel, and (g) procuring insurance. In December 2014, a new one year contract for 2015 with a 2% increase was signed.

7. MULTI EMPLOYER PENSION PLAN:

The Corporation participates in 2014 Apartment Building Agreement between Realty Advisory Board on Labor Relations Incorporated and Service Employees International Union, Local 32BJ, effective for the period April 21, 2014 to April 20, 2018. The Corporation is obligated to pay into the Pension Fund, Health Fund, and Legal/Training Service Fund for employees covered under the collective bargaining agreement. Contributions paid under these plans are expensed as incurred and amounted to $54,457 in 2015 and $44,975 in 2014. The Corporation's contribution is less than 5 percent of the total contributions made to the plan by all contributing employers. In the event of withdrawal from the plan, the Corporation may, under the provisions of the Employee Retirement Income Security Act of 1974 ("ERISA"), as amended, be required to pay its proportionate share of the plans' unfunded balance, which cannot be determined at this time. The Corporation has no intention of withdrawing from the plan.

In accordance with the Pension Protection Act of 2006, the Fund receives an annual certified zone status from its actuary which summarizes its funding status. Plans in the "red zone" are generally less than 65% funded, plans in the "yellow zone" are 65% to 80% funded, and plans in the "green zone' is a least 80% funded. As of July 1, 2013, the Fund's most recent available certified zone status was "red".

The Plan was certified to be in "critical" status for the Plan Year beginning July 1, 2013 because there was a projected Funding Standard Account deficiency within three years. In an effort to improve the Plan's funding situation, the Board of Trustees (the "Trustees") adopted a Rehabilitation Plan on September 28, 2010 designed to assist the Plan in emerging from critical status by the end of the Rehabilitation Period applicable to the Plan. The Rehabilitation Period for this plans is a ten year rehabilitation period that began July 1, 2013.

The following tables present the Plans' status for the most current reporting period.

Pension Fund Information

Legal Name of Pension Plan:	Building Service 32BJ Pension Fund
Employer Identification Number (EIN):	13-1879376
Plan Number:	001
Type of Plan:	Defined Benefit Pension Plan
Most Current Annual Report for Plan Year End Date:	June 30, 2015
Zone Status:	July 1, 2014- Red July 1, 2015- Red
Has the Rehabilitation Plan Been Implemented:	Yes
Surcharges Paid to Plan:	None
Total Contributions Received From All Employers By Plan Year End Date:	June 30, 2014- $226,695,282 June 30, 2015- $242,299,997
Total Number of Employers Contributing More Than 5% During Plan Year:	June 30, 2014- 1 June 30, 2015- 1

8. ADDITIONAL PAID-IN CAPITAL - CONTRIBUTIONS:

The Corporation treats special assessments for capital improvements and maintenance charges used to pay mortgage amortization as contributions to additional paid-in capital for income tax reporting purposes only.

For the years ended December 31, 2015 and 2014 additional paid-in capital increases for income tax purposes were $44,034 and $41,572, respectively.

9. DUE TO SHAREHOLDERS:

As a result of revisions to Section 467(a) of the New York State Real Property Tax Law, certain shareholders of the cooperative units are eligible for partial abatements of their real estate taxes over the tax years 1996/1997 to 2017/2018. In 1997, the New York State School Tax Relief Program (STAR) was authorized by Section 425 of the Real Estate Property Tax law. The STAR Program provides an exemption from school property taxes for owner occupied residences.

During the year ended December 31, 2015 and 2014, the Corporation received credits of $60,788 and $63,110 on its real estate bills, which represent the Co-op Abatement, STAR Exemption and other personal and building exemptions for the calendar years. These credits are due to individual shareholders who qualify under these programs. At December 31, 2015 and 2014, $31,475 and $33,797 had not yet been applied to the shareholders' accounts.

10. TREASURY STOCK:

On November 3, 2014, the Corporation acquired 379 shares of stock relating to Apartment 6K for a total cost of $53,752 as follows: purchase price plus closing costs - $39,034, apartment cleaning costs - $700, and maintenance arrears of $14,018 were forgiven. The intention of the Board of Directors is to renovate and resell the apartment.

11. SUBSEQUENT EVENTS:

The Board of Directors and management have evaluated subsequent events that would require adjustments to, or disclosure in the year end financial statements through May 3, 2016, at which time the financial statements became available for issuance.

Today May 17 in mail box

RIVEREDGE OWNERS, INC.

OTHER INCOME

FOR THE YEARS ENDED DECEMBER 31, 2015 AND 2014

	2015	2014
Interest income	$ 11,355	$ 6,626
Miscellaneous and late fees	19,712	13,735
Flip taxes	7,378	10,126
	$ 38,445	$ 30,487

RIVEREDGE OWNERS, INC.

DETAIL OF EXPENSES

FOR THE YEARS ENDED DECEMBER 31, 2015 AND 2014

	2015	2014
PAYROLL AND RELATED:		
Salaries and bonuses	$ 140,194	$ 130,912
Payroll taxes	10,954	11,467
Employee benefits	54,457	44,975
	$ 205,605	$ 187,354
UTILITIES:		
Electricity and gas	$ 50,136	$ 54,842
Fuel oil	149,523	282,575
	$ 199,659	$ 337,417
REPAIRS AND MAINTENANCE:		
Exterminator	$ 2,929	$ 3,170
Elevator	17,102	13,446
Miscellaneous repairs and general contracting	22,395	18,690
Janitorial supplies	22,455	33,700
Plumbing, heating and boiler	24,308	31,577
Pool expense including supplies	30,699	33,417
Landscaping	56,065	38,007
Security	52,724	56,237
Water damage repairs, net of insurance reimbursement	85,787	48,300
Windows and glass	-	339
Intercom	-	6,488
Laundry room	-	1,485
Garage door	-	1,157
Consulting fees	1,640	-
	$ 316,104	$ 286,013
CORPORATE TAXES AND MISCELLANEOUS:		
Stationery, printing and postage	$ 3,725	$ 12,789
Telephone	8,302	7,934
Corporate taxes	6,928	6,462
Licenses and fees	1,364	1,214
	$ 20,319	$ 28,399

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS AND
REPORT OF INDEPENDENT AUDITORS

AS OF AND FOR THE YEARS ENDED
DECEMBER 31, 2017 AND 2016

RIVEREDGE OWNERS, INC.

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2017 AND 2016

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NUSSBAUM YATES
BERG KLEIN & WOLPOW, LLP
Certified Public Accountants

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Report of Independent Auditors

To the Board of Directors and Shareholders
Riveredge Owners, Inc.
Yonkers, New York

We have audited the accompanying financial statements of Riveredge Owners Inc., which comprise the balance sheets as of December 31, 2017 and 2016, and the related statements of operations and accumulated deficit and cash flows for the years then ended and the related notes to the financial statements.

Management's Responsibility for the Financial Statements
Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility
Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion
In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 2017 and 2016, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Report on Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying supplementary information on pages 14 and 15 is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated in all material respects in relation to the financial statements as a whole.

Omission of Required Supplementary Information About Future Major Repairs and Replacements

Management has omitted the information about the estimates of future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, who considers it to be an essential part of the financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinion on the basic financial statements is not affected by the missing information.

Nussbaum Yates Berg Klein & Wolpert LLP

Melville, New York
March 8, 2018

RIVEREDGE OWNERS, INC.

BALANCE SHEETS

AS OF DECEMBER 31, 2017 AND 2016

ASSETS

	2017	2016
Current assets:		
Cash and cash equivalents	$ 115,582	$ 214,400
Accounts receivable from tenant-shareholders	3,110	6,384
Prepaid real estate tax	153,881	141,873
Prepaid expenses	64,016	61,519
Fuel inventory	9,321	8,000
Security deposits held	21,555	7,554
Total current assets	367,465	439,730
Investments:		
Reserve funds	1,667,267	1,354,270
Common property:		
Land, building, improvements and equipment	14,725,676	14,651,558
Less: accumulated depreciation	(10,529,631)	(10,137,155)
Net common property	4,196,045	4,514,403
Total assets	$ 6,230,777	$ 6,308,403

LIABILITIES AND SHARHOLDERS' EQUITY

Current liabilities:		
Accounts payable	$ 128,340	$ 106,694
Mortgage payable - current portion	51,404	48,819
Deferred charges	20,287	25,869
Due to shareholders	134,574	126,893
Deposits payable	21,555	7,604
Total current liabilities	356,160	315,879
Mortgage payable - less current portion	2,486,859	2,536,364
Total liabilities	2,843,019	2,852,243
Shareholders' equity:		
Common shares, $1.00 par value, 90,000 shares authorized, 85,027 issued and outstanding	85,027	85,027
Additional paid-in capital	6,936,768	6,936,768
Accumulated deficit	(3,634,037)	(3,565,635)
Total shareholders' equity	3,387,758	3,456,160
Total liabilities and shareholders' equity	$ 6,230,777	$ 6,308,403

See notes to financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF OPERATIONS AND ACCUMULATED DEFICIT

FOR THE YEARS ENDED DECEMBER 31, 2017 AND 2016

	2017	2016
Revenues:		
Maintenance charges	$ 1,513,404	$ 1,507,782
Parking revenue	87,754	87,949
Laundry income	30,524	28,937
Other income	38,501	27,784
Total revenues	1,670,183	1,652,452
Expenses:		
Payroll and related	220,249	205,640
Utilities	199,826	175,192
Water and sewer	41,666	43,820
Repairs and maintenance	220,316	204,846
Insurance	63,759	65,161
Legal and audit fees	27,642	7,961
Management fee	45,131	44,246
Real estate taxes	366,335	360,439
Corporate taxes and miscellaneous	24,437	24,623
Interest expense	136,748	139,217
Total expenses	1,346,109	1,271,145
Income before depreciation and amortization	324,074	381,307
Less: Depreciation	392,476	394,558
Net loss	(68,402)	(13,251)
Accumulated deficit, beginning of year	(3,565,635)	(3,552,384)
Accumulated deficit, end of year	$ (3,634,037)	$ (3,565,635)

See notes to financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF CASH FLOWS

FOR THE YEARS ENDED DECEMBER 31, 2017 AND 2016

	2017	2016
Operating activities:		
Net loss	$ (68,402)	$ (13,251)
Adjustments to reconcile net loss to net cash provided by operating activities:		
Depreciation	392,476	394,558
Interest expense - debt issuance costs	1,899	1,899
Interest earned in reserve accounts	(12,997)	(10,461)
Changes in operating assets and liabilities:		
Accounts receivable	3,274	(3,346)
Prepaid expenses and fuel inventory	(15,826)	(64,561)
Accounts payable	21,646	(5,602)
Due to shareholders	7,681	(1,146)
Deferred charges	(5,582)	7,626
Security deposits	(50)	(2,207)
Net cash provided by operating activities	324,119	303,509
Investing activities:		
Change in reserve fund principal	(300,000)	118,250
Expenditures for common property additions	(74,118)	(351,898)
Net cash used in investing activities	(374,118)	(233,648)
Financing activities:		
Sale of treasury stock, net	-	88,056
Payments of mortgage principal	(48,819)	(46,362)
Net cash provided by (used in) financing activities	(48,819)	41,694
Net (decrease) increase in cash and cash equivalents	(98,818)	111,555
Cash and cash equivalents, beginning of year	214,400	102,845
Cash and cash equivalents, end of year	$ 115,582	$ 214,400
Cash paid during the year for:		
Mortgage interest	$ 135,060	$ 137,515
Corporate taxes	$ 6,090	$ 6,970

See notes to financial statements.

RIVEREDGE OWNERS, INC.

NOTES TO FINANCIAL STATEMENTS

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2017 AND 2016

1. Organization

Riveredge Owners, Inc. (the "Corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York. The building consists of 158 residential apartments. The Corporation's primary purpose is to manage the operations of the property and maintain the common elements.

2. Summary of Significant Accounting Policies

Common Property

Common property includes land, building, improvements and equipment and is stated at cost. Depreciation has been computed by means of the straight-line method over the estimated useful lives of the assets ranging from 5 to 27.5 years.

Future Needs for Major Repairs and Replacements

The Corporation has accumulated funds for major repairs and replacements, and has not conducted studies to determine the remaining useful lives of the components of certain common property and current estimates of costs of major repairs and replacements that may be required in the future. Accordingly, the Corporation is unable to disclose that information. If further funds are needed the Corporation has the right to borrow, increase regular assessments, pass special assessments, or delay replacements until funds are available. The effect on future assessments has not been determined at this time.

Cash and Cash Equivalents

The Corporation considers all highly liquid debt instruments purchased with maturities of three months or less to be cash equivalents unless they are held for reserve fund purposes. The Corporation maintains cash and cash equivalents at several financial institutions. Accounts at certain institutions are insured by the Federal Deposit Insurance Corporation ("FDIC") up to $250,000. At times the Corporation's cash balances exceed FDIC insurance limits.

Use of Estimates

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses, and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on management's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

2. Summary of Significant Accounting Policies (Continued)

Debt Issuance Costs

Effective January 1, 2016, the Corporation adopted Accounting Standards Update (ASU) No. 2015-03: *Interest - Imputation of Interest (Subtopic 835-30), Simplifying the Presentation of Debt Issuance Costs.* Under the new method, effective January 1, 2016, debt issuance costs are presented as a reduction of long-term debt instead of being presented as an asset on the Corporation's balance sheet.

Debt issuance costs incurred in connection with the issuance of long term debt are amortized to interest expense over the term of the debt using the straight-line method, which approximates the effective interest method. The unamortized amount is presented as a reduction of long term debt on the balance sheet.

Maintenance Assessments

Tenant-shareholders are subject to monthly assessments to provide funds for the Corporation's operating expenses, future capital acquisitions, major repairs, and replacements. Accounts receivable from tenants at the balance sheet date represent maintenance charges due from tenant shareholders and are expected to be collectible. Any excess assessments at year end are retained by the Corporation for use in the succeeding year.

Corporation Income Tax

For Federal tax purposes, the Corporation's taxes are filed pursuant to Subchapter T of the Internal Revenue Code. Subchapter T Corporations divide their income and expenses between patronage and non-patronage sources. Income is considered patronage sourced if it is derived from an activity that is characterized as directly related to and inseparable from the Corporation's principal business activity and business purpose. Consequently, income from non-patronage sources (non-tenant-shareholder) such as commercial rent, professional apartment rental, etc., in excess of expenses properly attributable thereto, may be subject to Federal tax.

As of December 31, 2017, the Corporation had available approximately $3,615,000 of unused net operating loss carryovers that may be applied against future taxable income and expire in various years from 2019 to 2037. Due to the uncertainty of the Corporation's ability to generate sufficient taxable income before the expiration dates of these net operating losses, no deferred tax asset has been recorded in the accompanying financial statements. The Corporation is also subject to New York State franchise tax which has been provided for based upon capital rather than income.

The Corporation applies ASC Topic 740, the provision pertaining to uncertain tax positions, and has determined that there are no material uncertain tax positions that require recognition or disclosure in the financial statements. The income tax returns of the Association for tax years subsequent to 2013 are open and subject to examination by the taxing authorities.

2. Summary of Significant Accounting Policies (Continued)

Fuel Inventory

The Corporation values fuel inventory at cost using the First-in, First-out (FIFO) inventory valuation method.

Accounting Method and Policy

The Corporation maintains its books and records on the accrual basis of accounting and therefore recognizes revenue when earned, and liabilities when incurred. Bad debts, if any, are recognized in the period in which they are deemed to be uncollectible.

Fair Value of Financial Instruments

The Corporation uses the following methods and assumptions to estimate the fair value of each class of financial instruments for which it is practicable to estimate such value:

Cash and cash equivalents - The carrying amount approximates fair value because of the short maturity of those instruments.

Reserve Fund - The carrying amount approximates fair value because of the short maturity of those instruments.

Accounts receivable from tenant-shareholders - The carrying value of accounts receivable approximates fair value due to their short-term nature and historical collectability.

Accounts payable - The carrying value of accounts payable approximates fair value due to the short-term nature of the obligations.

Mortgage payable - The carrying amount approximates fair value because of the maturity of those instruments and interest rates prevalent in the agreements.

Transfer Fee

It is the Corporation's policy to charge a transfer fee to shareholders upon the resale of shares applicable to their apartments. This charge is equal to $2.75 per share. Such transfer fees are recognized as income to the Corporation at the time of transfer. Transfer fees were $6,121 and $4,956 for the years ended December 31, 2017 and 2016, respectively.

3. Reserve Funds

The Corporation has a cash management program which provides for investing excess cash in highly rated (low risk) financial instruments. These investments are designated as Reserve Funds and are to be used for capital improvements or major repairs. The Reserve Fund consists of the following as of December 31, 2017 and 2016:

	2017	2016
Sterling National Bank		
Business Money Market Account		
Interest rate of 0.02% for both years	$ 311,346	$ 9,611
Certificate of Deposits - with maturities of August 8, 2018 and January 1,2019	252,348	150,301
Signature Bank		
Money Market Account		
Interest rate of 1.0% and 0.70%, respectively	164,974	163,625
Twenty-eight (28) CDs in amounts ranging from $5,000 to $55,000 with maturity dates ranging from March 22, 2018 to March 16, 2019 at an interest rates ranging from 0.90% to 1.25%	264,255	261,779
Capital One Bank		
Business Savings		
Interest rate of 1.0% for both years	266,443	264,522
Westchester Bank		
Money Market		
Interest rate of 0.65% for both years	154,058	252,606
People United Bank		
Business Advantage Checking	-	1,000
Business Advantage Savings	-	250,826
Patriots Bank		
Certificate of Deposit - matures December 29, 2018 at an interest rate of 1.65%	253,843	-
Total reserve funds	$ 1,667,267	$ 1,354,270

4. Common Property

Common property consists of the following at December 31, 2017 and 2016:

	2017	2016
Land	$ 150,000	$ 150,000
Building	9,934,597	9,934,597
Improvements	4,204,469	4,141,074
Equipment, truck and fixtures	436,610	425,887
	14,725,676	14,651,558
Less accumulated depreciation	(10,529,631)	(10,137,155)
	$ 4,196,045	$ 4,514,403

During the year ended December 31, 2017, the Corporation incurred total costs for common property additions of $74,118 as follows: $63,395 for storage bins and $10,723 for gym equipment.

During the year ended December 31, 2016, the Corporation incurred total costs for common property additions of $351,898 as follows: $250,760 for the elevator modernization, $39,475 for the security system, $32,700 deposit for storage bins, $7,965 for the purchase of a bike rack, $11,000 for the construction of a retaining wall and $9,998 for lobby improvements.

5. Mortgage Payable

The Corporation has a mortgage with Greystone Servicing Corporation. The mortgage is in the amount of $2,800,000 and calls for monthly payments of $15,323 to be applied first to interest at the rate of 5.17% per annum (which approximates the effective interest rate) and the balance to principal. The mortgage is for a term of 30 years maturing on February 1, 2043 and is self-amortizing. Closing costs associated with the mortgage refinance totaled $56,957 and are being amortized to interest expense over the life of the mortgage. The mortgage is secured by the land and building owned by the Corporation.

At December 31, 2017 and 2016, the Corporation had the following long term debt:

	2017	2016
Mortgage payable	$ 2,585,726	$ 2,634,545
Unamortized debt issuance costs	(47,463)	(49,362)
	2,538,263	2,585,183
Less: current portion	(51,404)	(48,819)
Long term debt	$ 2,486,859	$ 2,536,364

5. Mortgage Payable (Continued)

The mortgage at its current terms is amortized over the next five years and thereafter as follows:

Year ended December 31,	Amount
2018	$ 51,404
2019	54,125
2020	56,991
2021	60,008
2022	63,185
Thereafter	2,300,013
	$ 2,585,726

6. Commitments

The Corporation has an agreement with Westchester Property Management for the management of the building. Fees totaled $45,131 and $44,246 for years ended December 31, 2017 and 2016, respectively. The agreement provides for the management agent to be in charge of (a) collecting all rents and other charges, (b) maintaining the building premises adequately, (c) entering into building contracts, (d) purchasing of supplies, (e) keeping all books and records of the Corporation, (f) managing all building personnel, and (g) procuring insurance.

7. Multi Employer Pension Plan

The Corporation participates in the 2014 Apartment Building Agreement between Realty Advisory Board on Labor Relations Incorporated and Service Employees International Union, Local 32BJ, effective for the period April 21, 2014 to April 20, 2018. The Corporation is obligated to pay into the Pension Fund, Health Fund, and Legal/Training Service Fund for employees covered under the collective bargaining agreement. Contributions paid under these plans are expensed as incurred and amounted to $61,340 in 2017 and $58,958 in 2016. The Corporation's contribution is less than 5 percent of the total contributions made to the plan by all contributing employers.

In the event of withdrawal from the plan, the Corporation may, under the provisions of the Employee Retirement Income Security Act of 1974 ("ERISA"), as amended, be required to pay its proportionate share of the plan's unfunded balance, which cannot be determined at this time. The Corporation has no intention of withdrawing from the plan.

In accordance with the Pension Protection Act of 2006, the Fund receives an annual certified zone status from its actuary which summarizes its funding status. Plans in the "red zone" are generally less than 65% funded, plans in the "yellow zone" are 65% to 80% funded, and plans in the "green zone" is a least 80% funded. As of July 1, 2017, the Fund's most recent available certified zone status was "red".

7. Multi Employer Pension Plan (Continued)

The Plan was certified to be in "critical" status for the Plan Year beginning July 1, 2017 because there was a projected Funding Standard Account deficiency within three years. In an effort to improve the Plan's funding situation, the Board of Trustees (the "Trustees") adopted a Rehabilitation Plan on September 28, 2010 designed to assist the Plan in emerging from critical status by the end of the Rehabilitation Period applicable to the Plan. The Rehabilitation Period for this plan is a ten year rehabilitation period that began July 1, 2013.

The following table present the Plan's status for the most current reporting period.

Pension Fund Information

Legal Name of Pension Plan:	Building Service 32BJ Pension Fund
Employer Identification Number (EIN):	13-1879376
Plan Number:	001
Type of Plan:	Defined Benefit Pension Plan
Most Current Annual Report for Plan Year End Date:	June 30, 2017
Zone Status:	July 1, 2016 - Red July 1, 2017 - Red
Has the Rehabilitation Plan Been Implemented:	Yes
Surcharges Paid to Plan:	None

8. Additional Paid-In Capital - Contributions

The Corporation treats special assessments for capital improvements and maintenance charges used to pay mortgage amortization as contributions to additional paid-in capital for income tax reporting purposes only.

For the years ended December 31, 2017 and 2016, additional paid-in capital increases for income tax purposes were $48,819 and $46,362, respectively.

9. Due to Shareholders

As a result of revisions to Section 467(a) of the New York State Real Property Tax Law, certain shareholders of the cooperative units are eligible for partial abatements of their real estate taxes over the tax years 1996/1997 to 2017/2018. In 1997, the New York State School Tax Relief Program ("STAR") was authorized by Section 425 of the Real Estate Property Tax law. The STAR Program provides an exemption from school property taxes for owner occupied residences.

During the year ended December 31, 2017 and 2016, the Corporation received credits of $134,574 and $126,567 on its real estate bills, which represent the Co-op Abatement, STAR Exemption and other personal and building exemptions for those calendar years. These credits are due to individual shareholders who qualify under these programs. At December 31, 2017 and 2016, $134,574 and $126,893 had not yet been applied to the shareholders' accounts.

10. Treasury Stock

On November 3, 2014, the Corporation acquired 379 shares of stock relating to Apartment 6K for a total cost of $53,752 as follows: purchase price plus closing costs - $39,034, apartment cleaning costs - $700, and maintenance arrears of $14,018 were forgiven. In 2016, the Corporation incurred $30,000 in costs to renovate the apartment and then sold the unit/shares on November 2, 2016 for $118,056. The excess of the proceeds over the cost and improvements to the unit of $34,304 have been credited to additional paid in capital.

11. Subsequent Events

The Board of Directors and management have evaluated subsequent events that would require adjustments to, or disclosure in the year-end financial statements through March 8, 2018, at which time the financial statements became available for issuance.

RIVEREDGE OWNERS, INC.

OTHER INCOME

FOR THE YEARS ENDED DECEMBER 31, 2017 AND 2016

	2017	2016
Interest income	$ 12,997	$ 10,461
Miscellaneous and late fees	8,729	12,367
Storage fees	10,654	-
Transfer fees	6,121	4,956
	$ 38,501	$ 27,784

RIVEREDGE OWNERS, INC.

DETAIL OF EXPENSES

FOR THE YEARS ENDED DECEMBER 31, 2017 AND 2016

	2017	2016
Payroll and related:		
Salaries and bonuses	$ 146,717	$ 136,018
Payroll taxes	12,192	10,664
Employee benefits	61,340	58,958
Total payroll and related	$ 220,249	$ 205,640
Utilities:		
Fuel oil	$ 145,558	$ 118,789
Electricity and gas	54,268	56,403
Total utilities	$ 199,826	$ 175,192
Repairs and maintenance:		
Exterminator	$ 2,940	$ 2,417
Elevator	9,664	9,664
Miscellaneous repairs and general contracting	48,648	37,367
Janitorial supplies	19,746	18,247
Plumbing, heating and boiler	11,312	10,654
Pool expense including supplies	34,983	30,099
Landscaping	36,647	54,632
Security	56,376	54,226
Water damage repairs, net of insurance reimbursement	-	(13,010)
Consulting fees	-	550
Total repairs and maintenance	$ 220,316	$ 204,846
Corporate taxes and miscellaneous:		
Stationary, printing and postage	$ 7,056	$ 8,540
Telephone	11,210	11,409
Corporate taxes	6,171	3,060
Licenses and fees	-	1,614
Total corporate taxes and miscellaneous	$ 24,437	$ 24,623

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS AND
REPORT OF INDEPENDENT AUDITORS

AS OF AND FOR THE YEARS ENDED
DECEMBER 31, 2019 AND 2018

RIVEREDGE OWNERS, INC.

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2019 AND 2018

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Report of Independent Auditors

To the Board of Directors and Shareholders
Riveredge Owners, Inc.
Yonkers, New York

We have audited the accompanying financial statements of Riveredge Owners, Inc., which comprise the balance sheets as of December 31, 2019 and 2018, and the related statements of operations and accumulated deficit and cash flows for the years then ended and the related notes to the financial statements.

Management's Responsibility for the Financial Statements
Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility
Our responsibility is to express an opinion on these financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audits to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion
In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 2019 and 2018, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

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Report on Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying supplementary information on pages 14 and 15 is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated in all material respects in relation to the financial statements as a whole.

Omission of Required Supplementary Information About Future Major Repairs and Replacements

Management has omitted the information about the estimates of future costs of major repairs and replacements that accounting principles generally accepted in the United States of America require to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board, who considers it to be an essential part of the financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinion on the basic financial statements is not affected by the missing information.

Nussbaum Berg Klein & Wolpow, CPAs LLP

Melville, New York
April 21, 2020

RIVEREDGE OWNERS, INC.

BALANCE SHEETS

AS OF DECEMBER 31, 2019 AND 2018

ASSETS

	2019	2018
Current assets:		
Cash and cash equivalents	$ 111,999	$ 98,755
Accounts receivable from tenant-shareholders	17,682	7,064
Laundry receivable	2,235	-
Prepaid real estate tax	99,762	155,698
Prepaid expenses	57,419	64,111
Fuel inventory	9,372	11,386
Security deposits held	21,037	16,641
Total current assets	319,506	353,655
Investments:		
Reserve funds	2,118,012	1,877,718
Common property:		
Land, building, improvements and equipment	14,770,942	14,728,022
Less: accumulated depreciation	(11,290,323)	(10,916,116)
Net common property	3,480,619	3,811,906
Total assets	$ 5,918,137	$ 6,043,279

LIABILITIES AND SHARHOLDERS' EQUITY

Current liabilities:		
Accounts payable	$ 84,676	$ 76,624
Mortgage payable - current portion	56,991	54,125
Deferred revenue	18,771	14,971
Due to shareholders	134,739	135,394
Deposits payable	21,037	16,641
Total current liabilities	316,214	297,755
Mortgage payable - less current portion	2,379,541	2,434,633
Total liabilities	2,695,755	2,732,388
Shareholders' equity:		
Common shares, $1.00 par value, 90,000 shares authorized, 85,027 issued and outstanding	85,027	85,027
Additional paid-in capital	6,936,768	6,936,768
Accumulated deficit	(3,799,413)	(3,710,904)
Total shareholders' equity	3,222,382	3,310,891
Total liabilities and shareholders' equity	$ 5,918,137	$ 6,043,279

See notes to financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF OPERATIONS AND ACCUMULATED DEFICIT

FOR THE YEARS ENDED DECEMBER 31, 2019 AND 2018

	2019	2018
Revenues:		
Maintenance charges	$ 1,513,404	$ 1,513,404
Parking revenue	86,251	86,302
Laundry revenue	30,853	31,379
Other revenues	78,385	63,111
Total revenues	1,708,893	1,694,196
Expenses:		
Payroll and related	238,312	223,696
Utilities	231,878	215,961
Water and sewer	37,334	31,278
Repairs and maintenance	139,146	154,212
Security	61,180	60,748
Insurance	67,615	66,478
Legal and audit fees	46,161	48,669
Management fee	46,954	46,033
Real estate taxes	399,172	379,323
Corporate taxes and miscellaneous	24,004	24,027
Interest expense	131,439	134,153
Total expenses	1,423,195	1,384,578
Income before depreciation	285,698	309,618
Less: Depreciation	374,207	386,485
Net loss	(88,509)	(76,867)
Accumulated deficit, beginning of year	(3,710,904)	(3,634,037)
Accumulated deficit, end of year	$ (3,799,413)	$ (3,710,904)

See notes to financial statements.

RIVEREDGE OWNERS, INC.

STATEMENTS OF CASH FLOWS

FOR THE YEARS ENDED DECEMBER 31, 2019 AND 2018

	2019	2018
Operating activities:		
Net loss	$ (88,509)	$ (76,867)
Adjustments to reconcile net loss to net cash provided by operating activities:		
Depreciation	374,207	386,485
Interest expense - debt issuance costs	1,899	1,899
Interest earned in reserve accounts	(40,294)	(27,950)
Changes in operating assets and liabilities:		
Accounts receivable from tenant-shareholders	(10,618)	(3,954)
Laundry receivable	(2,235)	-
Prepaid expenses and fuel inventory	64,642	(3,977)
Accounts payable	8,052	(51,716)
Due to shareholders	(655)	820
Deferred revenue	3,800	(5,316)
Net cash provided by operating activities	310,289	219,424
Investing activities:		
Change in reserve fund principal	(200,000)	(182,501)
Expenditures for common property additions	(42,920)	(2,346)
Net cash used in investing activities	(242,920)	(184,847)
Financing activities:		
Payments of mortgage principal	(54,125)	(51,404)
Net increase (decrease) in cash and cash equivalents	13,244	(16,827)
Cash and cash equivalents, beginning of year	98,755	115,582
Cash and cash equivalents, end of year	$ 111,999	$ 98,755
Cash paid during the year for:		
Mortgage interest	$ 129,754	$ 132,475
Corporate taxes	$ 7,427	$ 5,978

See notes to financial statements.

RIVEREDGE OWNERS, INC.

NOTES TO FINANCIAL STATEMENTS

AS OF AND FOR THE YEARS ENDED DECEMBER 31, 2019 AND 2018

1. Organization

Riveredge Owners, Inc. (the "Corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York. The building consists of 158 residential apartments. The Corporation's primary purpose is to manage the operations of the property and maintain the common elements.

2. Summary of Significant Accounting Policies

Common Property

Common property includes land, building, improvements and equipment and is stated at cost. Depreciation has been computed by means of the straight-line method over the estimated useful lives of the assets ranging from 5 to 45 years.

Future Needs for Major Repairs and Replacements

The Corporation has accumulated funds for major repairs and replacements, and has not conducted studies to determine the remaining useful lives of the components of certain common property and current estimates of costs of major repairs and replacements that may be required in the future. Accordingly, the Corporation is unable to disclose that information. If further funds are needed the Corporation has the right to borrow, increase regular assessments, pass special assessments, or delay replacements until funds are available. The effect on future assessments has not been determined at this time.

Cash and Cash Equivalents

The Corporation considers all highly liquid financial instruments purchased with maturities of three months or less to be cash equivalents unless they are held for reserve fund purposes. The Corporation maintains cash and cash equivalents at several financial institutions. Accounts at certain institutions are insured by the Federal Deposit Insurance Corporation ("FDIC") up to certain limits. At times the Corporation's cash balances exceed FDIC insurance limits.

Use of Estimates

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses, and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on management's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

Debt Issuance Costs

Debt issuance costs incurred in connection with the issuance of long-term debt are amortized to interest expense over the term of the debt using the straight-line method, which approximates the effective interest method. The unamortized amount is presented as a reduction of long-term debt on the balance sheet.

2. Summary of Significant Accounting Policies (Continued)

Maintenance Assessments

Tenant-shareholders are subject to monthly assessments to provide funds for the Corporation's operating expenses, future capital acquisitions, major repairs, and replacements. Accounts receivable from tenants at the balance sheet date represent maintenance charges due from tenant shareholders and are expected to be collectible. The Corporation may place a lien on the capital stock of the shareholders to secure payment of charges and assessments. Any excess assessments at year end are retained by the Corporation for use in the succeeding year.

Corporation Income Tax

For Federal tax purposes, the Corporation's taxes are filed pursuant to Subchapter T of the Internal Revenue Code. Subchapter T Corporations divide their income and expenses between patronage and non-patronage sources. Income is considered patronage sourced if it is derived from an activity that is characterized as directly related to and inseparable from the Corporation's principal business activity and business purpose. Consequently, income from non-patronage sources (non-tenant-shareholder) such as commercial rent, professional apartment rental, etc., in excess of expenses properly attributable thereto, may be subject to Federal tax.

As of December 31, 2019, the Corporation had available approximately $3,519,000 of unused net operating losses carryover that may be applied against future taxable income without limitation and expire in various years from 2020 to 2037. In March of 2020 as part of CARES act legislation, net operating losses incurred for years after December 31, 2017 which were previously limited as to use of approximately $271,000 may be applied to their full extent against future taxable income. Due to the uncertainty of the Corporation's ability to generate sufficient taxable income to utilize these net operating losses, no deferred tax asset has been recorded in the accompanying financial statements. The Corporation is also subject to New York State franchise tax which has been provided for based upon capital rather than income.

The Corporation applies ASC Topic 740, the provision pertaining to uncertain tax positions, and has determined that there are no material uncertain tax positions that require recognition or disclosure in the financial statements. The income tax returns of the Corporation for tax years subsequent to 2015 are open and subject to examination by the taxing authorities.

Fuel Inventory

The Corporation values fuel inventory at cost using the First-in, First-out (FIFO) inventory valuation method.

Accounting Method and Policy

The Corporation prepares its financial statements on the accrual basis of accounting and therefore recognizes revenue when earned, and liabilities when incurred. Bad debts, if any, are recognized in the period in which they are deemed to be uncollectible.

2. Summary of Significant Accounting Policies (Continued)

Fair Value of Financial Instruments

The Corporation uses the following methods and assumptions to estimate the fair value of each class of financial instruments for which it is practicable to estimate such value:

Cash and cash equivalents - The carrying amount approximates fair value because of the short maturity of those instruments.

Reserve Fund - The carrying amount approximates fair value because of the short maturity of those instruments.

Accounts receivable from tenant-shareholders - The carrying value of accounts receivable approximates fair value due to their short-term nature and historical collectability.

Accounts payable - The carrying value of accounts payable approximates fair value due to the short-term nature of the obligations.

Mortgage payable - The carrying amount approximates fair value because of the maturity of those instruments and interest rates prevalent in the agreements.

Recent Accounting Pronouncement

In May 2014, the Financial Accounting Standards Board ("FASB") issued Accounting Standard Update ("ASU") No. 2014-09, *Revenue from Contracts with Customers (Topic 606)*. The core principle of the new guidance is that an entity should recognize revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. The Condominium believes that its revenue transactions are not within the scope of Topic 606 because their revenue transactions are not with customers but with owners who elect a board to represent them, have voting rights as well as other incidents of ownership. Accordingly, the Condominium has concluded that Topic 606 is not applicable to these financial statements.

Transfer Fee

It is the Corporation's policy to charge a transfer fee to shareholders upon the resale of shares applicable to their apartments. This charge is equal to $2.75 per share. Such transfer fees are recognized as income to the Corporation at the time of transfer. Transfer fees were $3,457 and $4,364 for the years ended December 31, 2019 and 2018, respectively.

3. Cash Flows

In November 2016 the FASB issued ASU 2016-18 "*Statement of Cash Flows - Restricted Cash*." The ASU requires that a statement of cash flows explain the change during the period in the total of cash, cash equivalents and restricted cash when reconciling the beginning of period and end of period total amounts shown in the statement of cash flows. The Corporation adopted ASU 2016-18 on January 1, 2019. The adoption of the standard had no material effect as there was no restricted cash at December 31, 2019 and 2018.

4. Reserve Funds

The Corporation has a cash management program which provides for investing excess cash in highly rated (low risk) financial instruments. These investments are designated as Reserve Funds and are to be used for capital improvements or major repairs. The Reserve Fund consists of the following as of December 31, 2019 and 2018:

	2019	2018
Sterling National Bank		
Business Money Market account Interest rate of 1.61% at December 31, 2019 and 2018	$ 305,280	$ 550,245
Certificate of Deposit - matures January 2021 at an interest rate of 1.60%	104,213	101,728
Certificate of Deposit - matures April 14, 2020 at an interest rate of 2.47%	263,256	-
Signature Bank		
Money Market account Interest rate of 1.31% and 1.01%, respectively	127,698	331,182
Ten (10) CDs in amounts ranging from approximately $5,000 to $26,000 with maturity dates ranging from January 24, 2019 to September 30, 2019 at interest rates ranging from 1.4% to 2.0%	-	108,387
Certificate of Deposit - matures May 23, 2020 at an interest rate of 2.5%	152,298	-
Certificate of Deposit - matures January 29, 2020 at an interest rate of 2.2%	153,141	-
HSBC Bank		
Savings account	203,232	-
Certificate of Deposit - matured March 7, 2019 at an interest rate of 2.5%	-	100,008
Certificate of Deposit - matured April 15, 2019 at an interest rate of 2.5%	-	155,031
Patriots Bank		
Checking account	2,500	2,500
Certificate of Deposit - matures December 29, 2020 at an interest rate of 2.63%	264,952	257,782
Certificate of Deposit - matures August 2, 2020 at an interest rate of 3%	278,714	270,855
Certificate of Deposit - matures September 17, 2020 at an interest rate of 3%	262,728	-
Total reserve funds	$ 2,118,012	$ 1,877,718

5. Common Property

Common property consists of the following at December 31, 2019 and 2018:

	2019	2018
Land	$ 150,000	$ 150,000
Building	9,934,597	9,934,597
Improvements	4,206,119	4,206,119
Equipment, truck and fixtures	480,226	437,306
	14,770,942	14,728,022
Less accumulated depreciation	(11,290,323)	(10,916,116)
	$ 3,480,619	$ 3,811,906

During the year ended December 31, 2019, the Corporation incurred total costs for common property additions of $42,920 as follows: $17,400 for storage bins, $11,020 for garage hydraulic heaters, $4,500 for garage door and $10,000 for a pool dehumidifier.

During the year ended December 31, 2018, the Corporation incurred total costs for common property additions of $2,346 as follows: $1,650 for storage bins and $696 for gym equipment.

6. Mortgage Payable

The Corporation has a mortgage with Greystone Servicing Corporation that is secured by the property. The mortgage is in the amount of $2,800,000 and calls for monthly payments of $15,323 to be applied first to interest at the rate of 5.17% per annum (which approximates the effective interest rate) and the balance to principal. The mortgage is for a term of 30 years maturing on February 1, 2043 and is self-amortizing. Closing costs associated with the mortgage refinance totaled $56,957 and are being amortized to interest expense over the life of the mortgage. The mortgage is secured by the land and building owned by the Corporation.

At December 31, 2019 and 2018, the Corporation had the following long-term debt:

	2019	2018
Mortgage payable	$ 2,480,197	$ 2,534,322
Unamortized debt issuance costs	(43,665)	(45,564)
	2,436,532	2,488,758
Less: current portion	(56,991)	(54,125)
Long-term debt	$ 2,379,541	$ 2,434,633

6. Mortgage Payable (Continued)

Principal payments over the next five years and thereafter as follows:

Year ended December 31,	Amount
2020	$ 56,991
2021	60,008
2022	63,185
2023	66,530
2024	70,052
Thereafter	2,163,431
	$ 2,480,197

7. Commitments

The Corporation has an agreement with Westchester Property Management for the management of the building. Fees totaled $46,954 and $46,033 for years ended December 31, 2019 and 2018, respectively. The agreement provides for the management agent to be in charge of (a) collecting all rents and other charges, (b) maintaining the building premises adequately, (c) entering into building contracts, (d) purchasing of supplies, (e) keeping all books and records of the Corporation, (f) managing all building personnel, and (g) procuring insurance.

8. Multi Employer Pension Plan

The Corporation participates in the 2018 Apartment Building Agreement between Realty Advisory Board on Labor Relations Incorporated and Service Employees International Union, Local 32BJ, effective for the period October 1, 2018 to September 30, 2022. The Corporation is obligated to pay into the Pension Fund, Health Fund, and Legal/Training Service Fund for employees covered under the collective bargaining agreement. Contributions paid under these plans are expensed as incurred and amounted to $71,202 in 2019 and $62,473 in 2018. The Corporation's contribution is less than 5 percent of the total contributions made to the plan by all contributing employers.

In the event of withdrawal from the plan, the Corporation may, under the provisions of the Employee Retirement Income Security Act of 1974 ("ERISA"), as amended, be required to pay its proportionate share of the plan's unfunded balance, which cannot be determined at this time. The Corporation has no intention of withdrawing from the plan.

In accordance with the Pension Protection Act of 2006, the Fund receives an annual certified zone status from its actuary which summarizes its funding status. Plans in the "red zone" are generally less than 65% funded, plans in the "yellow zone" are 65% to 80% funded, and plans in the "green zone" is a least 80% funded. As of December 31, 2018, the Fund's most recent available certified zone status was "red".

8. Multi Employer Pension Plan (Continued)

The Plan was certified to be in "critical" status for the Plan Year beginning July 1, 2018 because there was a projected Funding Standard Account deficiency within three years. In an effort to improve the Plan's funding situation, the Board of Trustees (the "Trustees") adopted a Rehabilitation Plan on June 18, 2014 designed to assist the Plan in emerging from critical status by the end of the Rehabilitation Period applicable to the Plan. The Rehabilitation Period for this plan is a ten year rehabilitation period that began April 1, 2015.

The following table presents the Plan's status for the most current reporting period.

Pension Fund Information

Legal Name of Pension Plan:	Building Service 32BJ North Pension Fund
Employer Identification Number (EIN):	13-1819138
Plan Number:	001
Type of Plan:	Defined Benefit Pension Plan
Most Current Annual Report for Plan Year End Date:	December 31, 2018
Zone Status:	December 31, 2018 - Red December 31, 2017 - Red
Has the Rehabilitation Plan Been Implemented:	Yes
Surcharges Paid to Plan:	None

9. Additional Paid-In Capital - Contributions

The Corporation treats special assessments for capital improvements and maintenance charges used to pay mortgage amortization as contributions to additional paid-in capital for income tax reporting purposes only.

For the years ended December 31, 2019 and 2018, additional paid-in capital increases for income tax purposes were $54,125 and $51,404, respectively.

10. Due to Shareholders

As a result of revisions to Section 467(a) of the New York State Real Property Tax Law, certain shareholders of the cooperative units are eligible for partial abatements of their real estate taxes over the tax years 1996/1997 to 2018/2019. In 1997, the New York State School Tax Relief Program ("STAR") was authorized by Section 425 of the Real Estate Property Tax law. The STAR Program provides an exemption from school property taxes for owner occupied residences.

During the years ended December 31, 2019 and 2018, the Corporation received credits of $135,394 and $133,159, respectively, on its real estate bills, which represent the Co-op Abatement, STAR Exemption and other personal and building exemptions for those calendar years. These credits are due to individual shareholders who qualify under these programs. At December 31, 2019 and 2018, $134,739 and $135,394, respectively, had not yet been applied to the shareholders' accounts.

11. Subsequent Events

On January 30, 2020, the World Health Organization declared the coronavirus outbreak a "Public Health Emergency of International Concern" and on March 10, 2020, declared it to be a pandemic. Actions taken around the world to help mitigate the spread of the coronavirus include restrictions on travel, and quarantines in certain areas, and forced closures for certain types of public places and businesses. The coronavirus and actions taken to mitigate it have had and are expected to continue to have an adverse impact on the economies and financial markets of many countries. While it is unknown how long these conditions will last and what the complete financial effect will be to the Corporation, the Corporation may not be experiencing any adverse effects currently but it is possible that the Corporation may see increasing receivables and declining revenue which can result in difficulty meeting debt covenants or paying vendors. The Corporation's primary source of revenue is derived from shareholders who may experience financial difficulties in the future.

The Board of Directors and management have evaluated subsequent events that would require adjustments to, or disclosure in the year-end financial statements through April 21, 2020, at which time the financial statements became available for issuance.

RIVEREDGE OWNERS, INC.

OTHER REVENUES

FOR THE YEARS ENDED DECEMBER 31, 2019 AND 2018

	2019	2018
Interest income	$ 40,294	$ 27,950
Miscellaneous and late fees	7,976	8,247
Storage fees	26,658	22,550
Transfer fees	3,457	4,364
	$ 78,385	$ 63,111

RIVEREDGE OWNERS, INC.

DETAIL OF EXPENSES

FOR THE YEARS ENDED DECEMBER 31, 2019 AND 2018

	2019	2018
Payroll and related:		
Salaries and bonuses	$ 155,761	$ 149,590
Payroll taxes	11,349	11,633
Employee benefits	71,202	62,473
Total payroll and related	$ 238,312	$ 223,696
Utilities:		
Fuel oil	$ 183,863	$ 163,392
Electricity and gas	48,015	52,569
Total utilities	$ 231,878	$ 215,961
Repairs and maintenance:		
Exterminator	$ 6,397	$ 2,655
Elevator	9,628	9,664
Miscellaneous repairs and general contracting	21,941	25,776
Janitorial supplies	33,528	27,202
Plumbing, heating and boiler	4,600	4,749
Pool expense including supplies	35,923	33,768
Landscaping	21,600	36,722
Electrical	-	5,889
Laundry room	5,529	7,787
Total repairs and maintenance	$ 139,146	$ 154,212
Corporate taxes and miscellaneous:		
Stationary, printing and postage	$ 8,093	$ 7,173
Telephone	6,616	8,810
Corporate taxes	7,426	7,200
Licenses and fees	1,869	844
Total corporate taxes and miscellaneous	$ 24,004	$ 24,027